

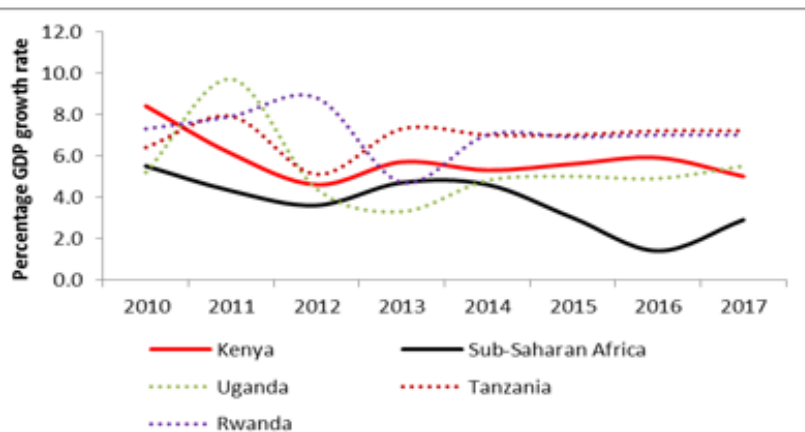
CO-OPERATIVE BANK OF KENYA LTD FY 2016 GROUP FINANCIAL RESULTS INVESTOR BRIEFING



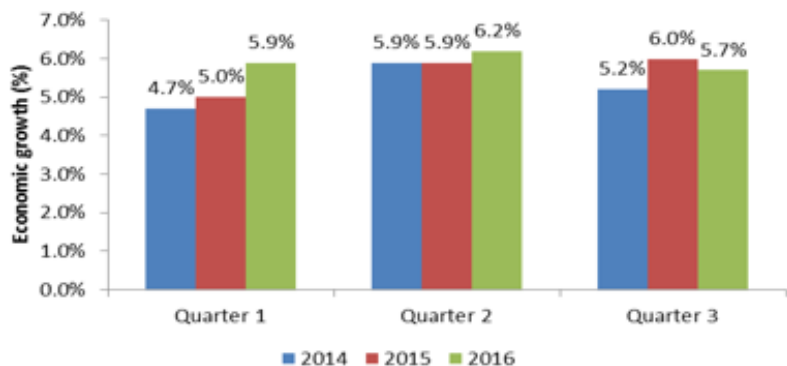
MACRO ECONOMIC UPDATE

RESILIENT GDP GROWTH RATE

Kenya's GDP growth higher than Sub-Saharan Africa average

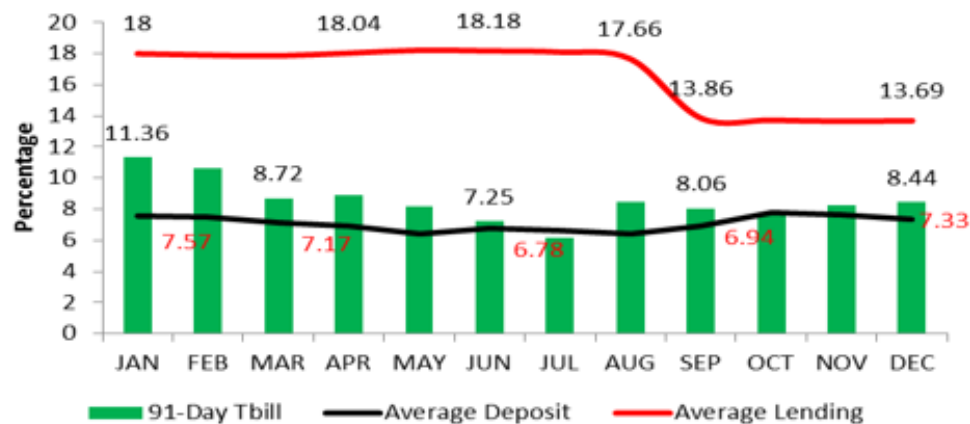


Resilient Quarterly real GDP growth rate



FAIRLY STABLE MACRO-ECONOMIC INDICATORS

2016 Average Monthly Interest Rates

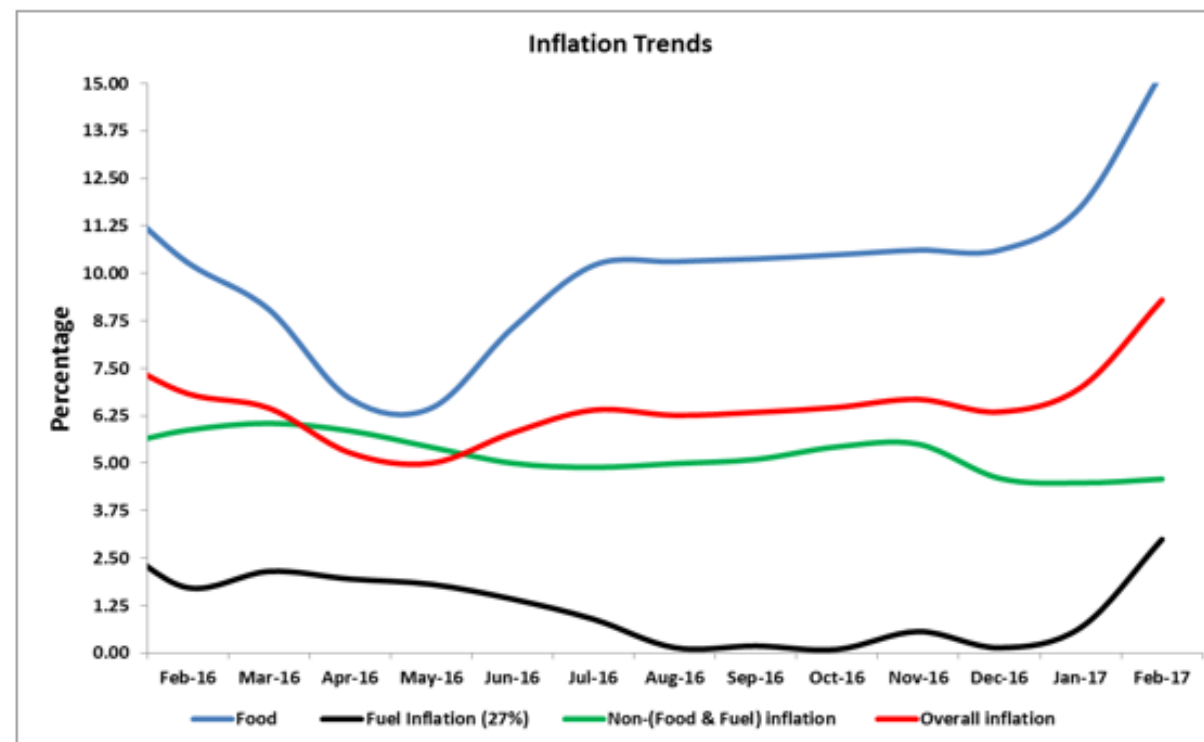


Exchange rate, (USD/KES)



HOWEVER, INFLATION, THOUGH STABLE IN 2016, POSES RISK IN 2017

- ❖ Overall inflation averaged 6.3% in 2016 as compared to 6.6% in 2015.
- ❖ Current rate of overall inflation recorded in February 2017 is 9%.
- ❖ There is however risk of food inflation in the short term.
- ❖ The current adverse weather condition will put pressure on price of vegetables, milk, cereals and electricity.
- ❖ Non-food-non-fuel inflation, however, remains low & stable.





Co-operatives Banking

- Large Saccos
- Housing Saccos
- Agri Business
- PSV/ Transport Saccos
- Investment Saccos



Retail Banking

- Micro Credit
- Small Medium Enterprises (SME)
- Personal Banking (mass & affluent)
- Diaspora Banking
- Banking the youth (Yea & Jumbo Junior)
- Asset Finance



Corporate & Institutional Banking

- Corporate banking
- Government Banking
- Institutional Banking
- Structured, Trade & Commodity Finance
- NGO's
- Treasury



Subsidiaries:

- Co-op Consultancy (Advisory services) & Insurance Agency(Banc assurance)
- Co-op-Trust Investment services Ltd
- Kingdom Securities Ltd
- Co-op Bank Foundation



Regional Expansion

- Co-op Bank of South Sudan
- CIC Africa South Sudan(31% by Co-opBank South Sudan)



Associates:

- CIC Insurance (26% owned)
- CIC Insurance with presence in South Sudan, Uganda and Malawi

Our channels

148 Branches

Mcoop cash mobile banking
(All telco, all products)

Co-op Kwa Jirani-Over 8000 agents

Over 580 ATMs, leading debit card issuer

CoopNet- Internet Banking (Corporate & Retail)

24 Hour Contact Centre

Self service Kiosks in all our branches

Dedicated Diaspora Banking Department

Over 555 FOSAs

Subsidiaries offering advisory and investment
services

Social Media Banking

Our customers

Over 6.2 Million growing direct account holders

Over 3.18 Million Mcoop Cash Customers

Over 69,000 Internet banking Customers

Over 992,000 Saccolink Customers

Over 11,000 Diaspora Banking Customers

Over 1 million Facebook followers

Over 150,000 Twitter followers

Instagram followers, You Tube subscribers

Telegram self service customers

‘Soaring to greater heights’

Our bold transformation journey that begun in 2014 as a result of growth and efficiency review is hinged on the following Key Pillars;

1. Branch Transformation and Non-Funded income (NFI) growth
2. Sales Force Effectiveness (SFE)
3. Enhanced Credit Management
4. Improved Operational Efficiency
5. Staff Productivity
6. Cost Management

Key Milestones

1. Completion of Branch transformation 1.0
2. Completion of SFE 1.0
3. Introduction of (Micro, Small & Medium Enterprises) MSME transformation
4. Support of NPL proactive management
5. Digital Bank support

2017 and beyond

The Soaring Eagle Transformation initiatives are aimed at achieving the Bank’s growth and profitability objectives for year 2017 and beyond.

1. Branch Transformation and channel migration
2. MSME Transformation
3. SFE Corporate and Co-operatives Division
4. NPL management and credit processes
5. Digital bank
6. Data analytics

Key Milestones

1. Successful completion of Branch Transformation 1.0
2. Successful kick-off of branch transformation 2.0. All the branches will be completed by end of December 2017.

Key transformation success

- ☐ Physical re-organization of the branch; Spacious sitting areas now completed
- ☐ Queue Management systems
- ☐ Increase of frontline staff to 62% from 55% against a 70% target
- ☐ Dropbox
- ☐ ATM kiosks
- ☐ Toll free lines to contact center
- ☐ Internet Banking at the branch
- ☐ Customers movement to alternative channels 83%
- ☐ Queue time improvement to 9 minutes

Objectives

- Deposits growth
- Loan book growth
- Reduce PAR
- Grow product holding to 4 Per customer.

Key initiatives

1. Sales Force Effectiveness initiatives
2. Free up time of staff to engage in frontline activities
3. Structure available time for optimization
4. Processes improvement for increased efficiency
5. Coaching for staff to increase productivity

2017 and beyond

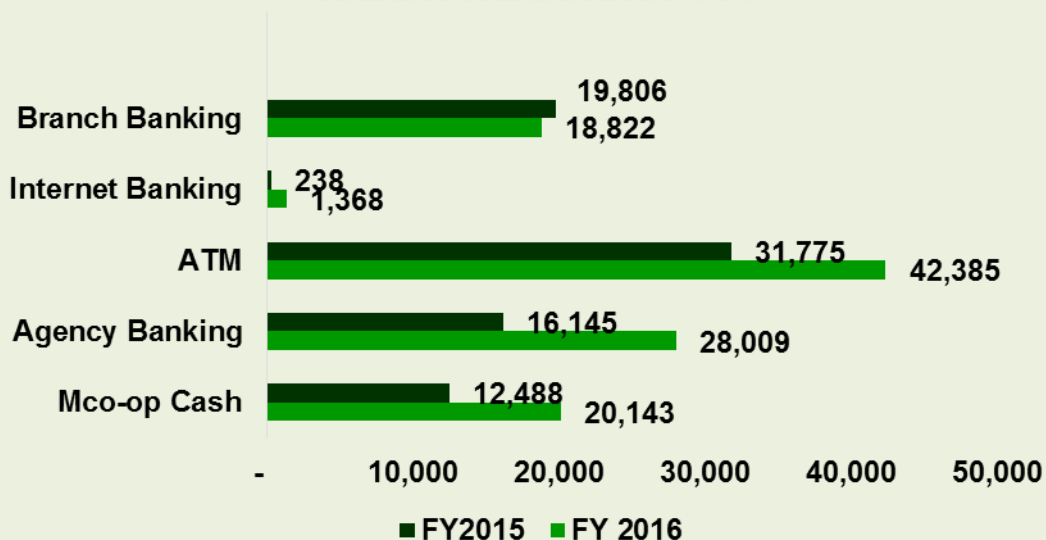
Themes:

1. Sustaining distinctive Customer service and centricity
2. Maximizing sales through product bundling

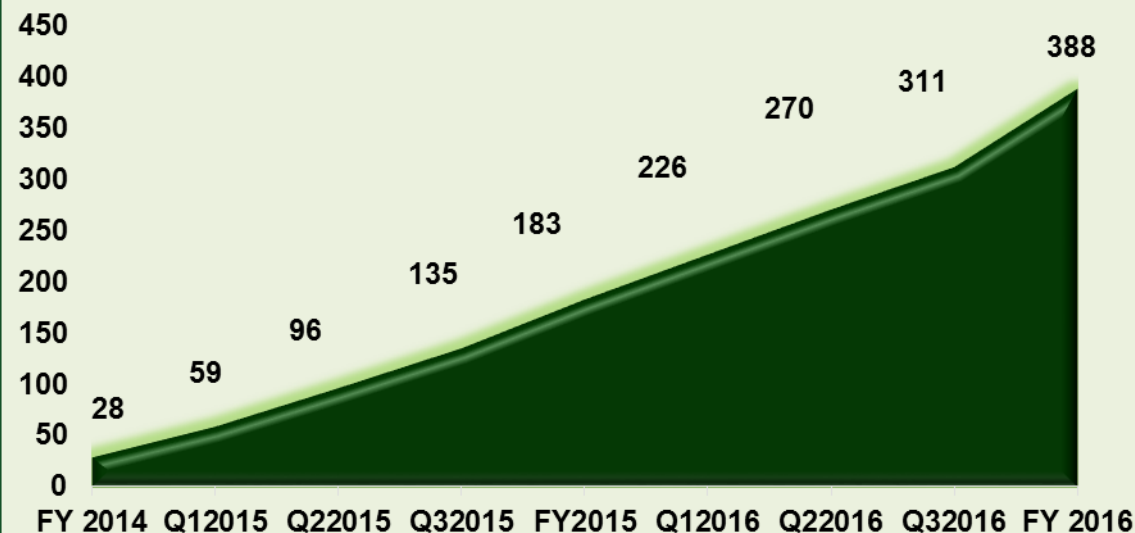
Branch Transformation and Channel Migration

Deepening Financial Inclusion with alternative channels

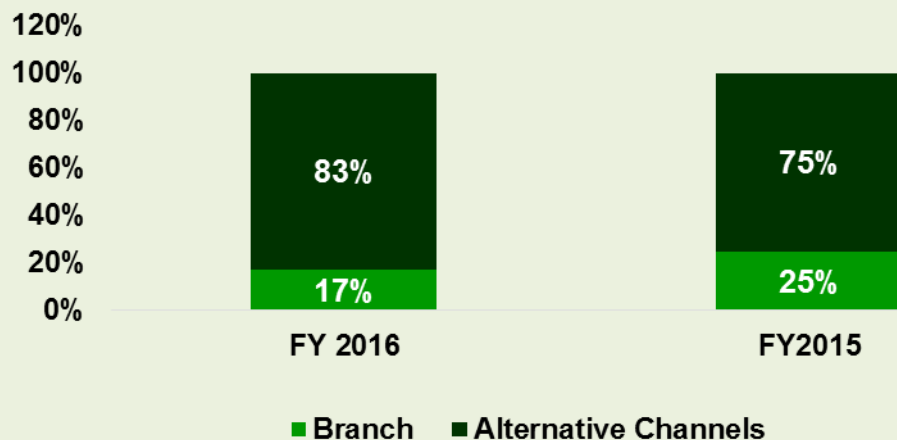
Channel Transactions '000'



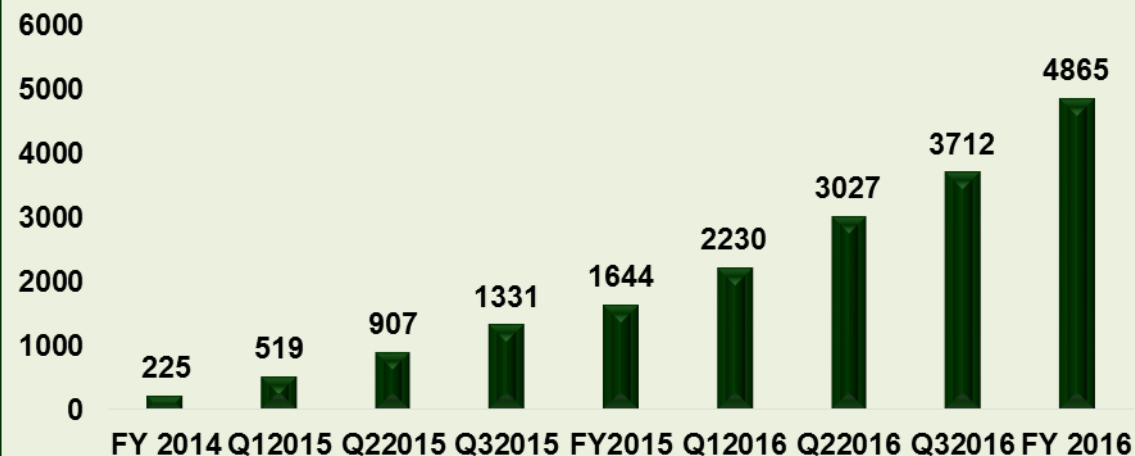
MCo-op Cash loan Book Numbers (In '000')



Branch Vs Alternative Channels



MCo-op Cash loan Book - In Millions



Key Milestones

1. Automated account plan
2. Timely and accurate data analytics reports for quality of discussions
3. Performance Discussions rhythms new norm

Key transformation success:

- Comprehensive and collaborative account planning process has resulted in growth on Conversion rate (Deal Closed) from 8% in Q1, 33% in Q2 and 49% in Q4 2016.
- More client acquisitions
- Increased product holding per customer through proper account planning and cross selling
- Enhanced collaboration between teams

Key initiatives

1. Enhanced Client Service meetings
2. Timely Problem solving sessions - value
3. Product bundling to drive volumes
4. Strategic partnership - Supply Chain Financing (SCF) / Fintech / Business to Business (B2B)

Objectives

1. Comprehensively updated account plans
2. Effective & realistic pipeline deals
3. New client acquisition & Relationship Manager loading (35-45)
4. Growth of NFI & Deposits
5. Fact based Performance dialogue

2017 and beyond

Themes:

1. Sales & Customer Centricity
2. Performance Management
3. Free up time (Support)

Optimizing the over 6.22 Million customers

Key Milestones

1. Instant card issuing
2. E-collect
3. Account plan automation
4. Channel Enhancement
 - Mco-opcash mobile banking
 - Agency banking
 - Business to Business integrations
 - Interactive Voice Response (IVR)
5. Support of Branch Transformation 1.0

Key initiatives

1. Robust scoping of deliverables
2. Free up time focus
3. Customer led solutioning

Objectives

1. Timely business led solutions delivery
2. Monitor and track projects benefits

2017 and beyond

Themes

1. Agility to market dynamics
2. Innovation
3. Digitize for value

Key Strengths;

- A robust Core Banking Business & Infrastructure Systems that can support 20 Million Customers
- Tier 3 data center with the high capacity IBM servers with offsite disaster recovery center
- Enhanced Information Security for our channels
- Rapid project delivery
- Enterprise systems such as Enterprise Resource Planning(ERP), Customer Relationship Management(CRM), Trade finance System, Treasury System and Contact Centre

Key Milestones

1. Improved Turnaround time (TAT) for loan applications
2. Automation of portfolio monitoring reports enabling real time monitoring.
3. The 0-89 days book improved by 73 % compared to start Q1 2016 to Q2 2017
4. The non performing ratio closed at 4.0% against a peer average of 6.4% in Q3 2016
5. The total recoveries grew to 105% against target.
6. The collection rate for Non Performing Loans (90+) has grown from by 72%.
7. Roll out of credit grading model for Corporate and SME Customer segments\
8. Increased utilization of e-collect by Head office and branch teams to monitor collection activities.

Key initiatives

1. Proactive NPL management
2. Coaching and feedback to Frontline
3. Credit Quality assurance
4. Timely relegation and Mgmt. of files

Objectives

1. Reduce PAR by 50%
2. Ensure quality loan book
3. Improve credit process TAT
4. Ensure timely Collection of loan

2017 and beyond

Themes:

1. Cure
2. Collection
3. Collaboration

Focus on;

1. Enhanced frontline support
2. Collaboration and establishment of regular touch-points and provision of advisory services
3. Enhancing systems processes and tooling to support Credit Management
4. Proactive Collections and Curing
5. Aggressive Remedial Action and Follow-up

Key Milestones

1. Base lining for benefits realization
2. Full adoption and utilization of use cases
3. Provide new business insights into Bank data for growth
4. Full resourcing of BI & Data Governance teams
5. Evaluation & contracting of partners
6. Development of 12 use cases

Objectives

1. Enhance frontline accountability
2. Enhance Proactive credit management
3. Proactive lead generation
4. Enhance data management
5. Drive prioritized use cases
6. Drive data architecture for Analytics

Key initiatives

1. Enterprise roll out of data analytic system.
2. Analytics platform deployment to all staff.
3. Benefit realization of reports
4. Delivery of data analytics state of the art infrastructure specially engineered by Oracle for the Bank.
5. Engagement of a special consultant know as a systems integrator to partner with the Bank on the Data Analytics Journey

2017 and beyond

Themes

1. Single Source of truth for data
2. Enhance enterprise data quality

About MSME

MSME transformation project started in November 2016 with the support of International Finance (IFC) Corporation - Consultancy Arm.

This project is designed to leverage and unlock the huge and lucrative potential of the MSME segment

The project is on its diagnostics stage, with four quick wins identified:

1. New Key Performance Indicators (KPIs) for our Bankers - Completed
2. Outbound Calling through Contact Center and follow up for closure by lead runners- Pilot
3. Cross selling by our agents - Pilot
4. Enhanced referral tracking system by our branch teams - Pilot.

Key initiatives

1. Credit Scoring
2. SCF- Supply Chain Financing.
3. CVP- Customer Value Proposition Model.
4. Segmentation.
5. Credit Process Review.
6. Product Offering Review
7. Non Financial Service (NFS) offering

Objectives

To be the dominant bank in Kenya in MSME Segment

2017 and beyond

Relevance:

1. Bank's growth strategy
2. Leveraging on a wide MSME customer base
3. Increase both funded and non funded income
4. Enhance MSME Product holding

Performance Rigor & Rhythms

- KPI-focus Performance Management system & rigour - >95% engagement and PIP turnaround (96%)
- Embedding Coaching & Feedback support > 300 leaders coaching for high performance

High Performing Teams (HPT) Culture & Manager Enablement

- Manager enablement sessions to drive high performing teams (HPT) culture & build people manager capabilities
- Coaching Capability at Senior Leadership at Director and Senior Leader level - 20 productivity and engagement coaches certified and 6 director-level Executive leadership certified coaches

Performance-linked Rewards & Recognition

- Differentiated Reward structure - Performance linked
- Incentive plans - review of incentive structures to drive performance (sales & target based productivity)

Staff Productivity

Staff Productivity - get the best out of our people

- Structural Alignments & Deep dives for strategic realignment, increased staff productivity & efficiencies of our key areas (approx. 21% increase in productivity)
- Staff Optimization initiatives - 100% Data-driven staffing, redeployment and intra-branch mobility
- Leadership Induction and Mentoring program -better quality decisions & operational excellence

Talent Acquisition - deepening capabilities

- Talent Engagement index from 4% to 27% - top Talent engagement index in Financial services
- On-boarding program - achieved Time to Productivity of 3 months (from 6-9 months) 92% Satisfaction score
- >120 Graduate Hires - Building talent pipelines for 'Skills for the future'
- Specialist internal strategic capability building - Data Analytics & ICT specialized skills, CRM

Workforce Stabilization -agility in a VUCA environment

- Launch of Corporate Wellness program - drive employee engagement, productivity and cost containment
- Stabilized Sales force & Support workforce - strengthened EVP
- Proactive Retention - 93% retention rate- ring-fencing critical talent

Cost Management and Efficiency



	FY 2016	FY2015	FY - 2014
Cost to Income Ratio	52.1%	53.2%	59%

Key strategies implemented and supporting the cost to income ratio are as follows;

- ❖ Initiated implementation of an Enterprise Resource Planning (ERP) solution to be completed in 2017 for better visibility and decision making
- ❖ Focus on electronic delivery channels thus reducing brick and mortar costs.
- ❖ Automation of the various key processes for costs optimization.
- ❖ Continuous review of our cost lines for adoption of better and cheaper methods.
- ❖ Appointment and approvals of evaluation committee for all sourcing
- ❖ Enhanced Expenditure Management Committee (EMC)
- ❖ Reviewed sourcing processes and procedures, including frequent tenders with significant savings.
- ❖ Market price comparison every 3 to 6 months
- ❖ Prequalification of suppliers every 6 months
- ❖ Renegotiated contracts with vendors especially systems



Leveraged on strong balance sheet to secure long-term funding from developmental partners as hereunder:

- ❖ IFC US\$ 60 million (Kshs.5.1 billion) in USD fully drawn to fund SME's and agribusiness
- ❖ IFC US\$105 (Kes10.7 Billion) > 7 year to finance SME's, construction and mortgage segments.
- ❖ EIB Euro 70 million (Kshs.8 billion) in Kshs (locked in Kshs at the exchange rate on disbursement) to fund SMEs
- ❖ IFAD, (Principal Loan of Kes 30 Million)-To finance the Eastern Province Horticultural and Traditional Food crops project
- ❖ AFD US\$ 36 million (Kshs.3.14 billion) in USD to fund energy efficient and renewable energy projects
- ❖ DEG US\$ 52.6 million (Kshs.4.68 billion) in USD to finance SME and Corporate customers

Key Benefits

- ✓ Senior debt has enhanced asset-liability match
- ✓ Mitigated our shilling exposure
- ✓ Diversified our asset portfolio
- ✓ Expanded our client base to export-led FX rich sectors
- ✓ Boosted our competitive position on account of affordable lending rates



The Award winning Brand!

Catalyst
Awards
2016



Recognising Catalytic Finance that Impacts Industry, Economy & Society

2ND POSITION:
Overall winner

2ND POSITION :
Best Practice in Sustainable Finance

1ST POSITION:
Commercial Client Case Study
(Strathmore University Solar Energy Project)

1ST POSITION:
MSME Case Study(Varomatech Enterprises)

The Award winning Brand!



2016 World Finance Awards

◆ Best Commercial Bank, Kenya

Banker Africa- East Africa Awards 2016

◆ The Best Socially Responsible Bank in East Africa

Banker Africa- East Africa Awards 2016

◆ The Best Retail Bank in Kenya



Utumishi Bora Awards 2016

Dr. Gideon Muriuki- was awarded the Grand Award, Mtumishi Bora 2016

The awards held by Kenya Christian Professional Forum promotes effective implementation of chapter 6(Leadership & Integrity) of the Constitution of Kenya

Co-op Consultancy & Ins. Agency Ltd

Dedicated 13 consultants to support Cooperative Societies and related community benefit institutions:

- ✓ Capacity building for Cooperative Societies.
- ✓ Over 2,000 consultancy and advisory mandates carried out from inception
- ✓ 555 FOSA's to serve Sacco customers.
- ✓ FOSAs have further entrenched our financial deepening model.

Continues to support Kenya Co-operative Coffee Exporters Ltd (KCCE) in helping coffee farmers maximize returns on their business and take greater control of the coffee value chain.

Co-operative Bank Foundation

- Our social investment program vehicle providing Education Scholarships for bright but needy students from all regions of Kenya. The sponsorship includes:
 - ✓ Full fees Schools fees for both secondary and University education
 - ✓ Internships and career openings for beneficiaries
- The foundation is fully funded by the bank.
- Since inception of program in 2007 to date 5,089 students have been sponsored.
- The bank awards scholarships per county and the rest are determined by the bank's regional Sacco delegates.

Other Initiatives

- Financing the SME and MCU sector
- Sustainable financing towards Vision 2030 and MDGs
- Corporate Social responsibility:
 - ✓ First Lady's Beyond Zero Campaign
 - ✓ Kenyatta National Hospital- Children Cancer Ward
 - ✓ Kenya Defense Forces games sponsorship
 - ✓ Kenya Diabetes Management and Information Centre
 - ✓ Kenya Psychological Association
 - ✓ National Police Service Athletics Bible Translation and Literacy Marathon
 - ✓ Wildlife Direct - Hands off our elephants
- Staff CSR Involvement

SOUTH SUDAN

- Currently operating 4 branches in Juba and 5 Non-oil collection centers. Owns 31% of CIC Africa Ltd- South Sudan
- The unique joint venture offers great opportunity for long-term sustainability of the business
- The subsidiary made an historical profit before tax of Kshs 116.7 Million in FY2016. There was an adjustment for hyperinflation occasioned by currency devaluation of Kshs 425.7 Million and restatement of prior year financials resulting to an overall loss of Kshs 498.3 Million.

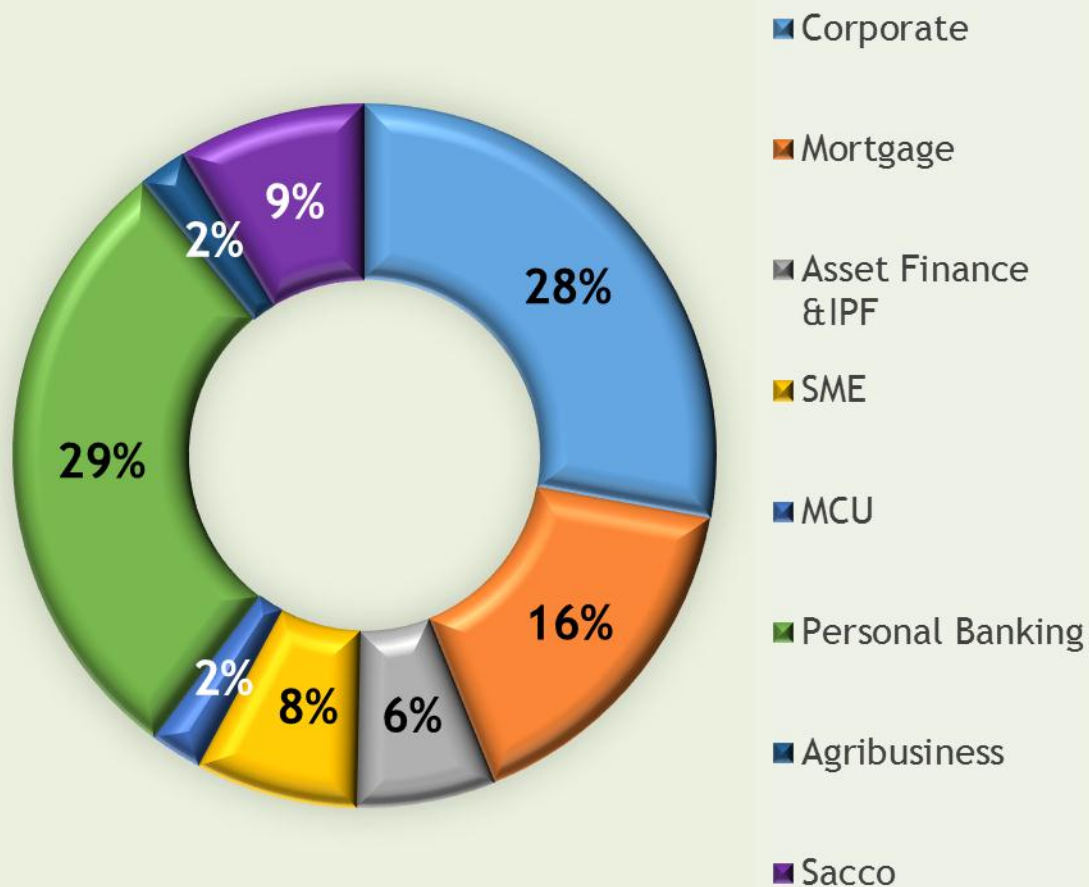


A Soaring Bank

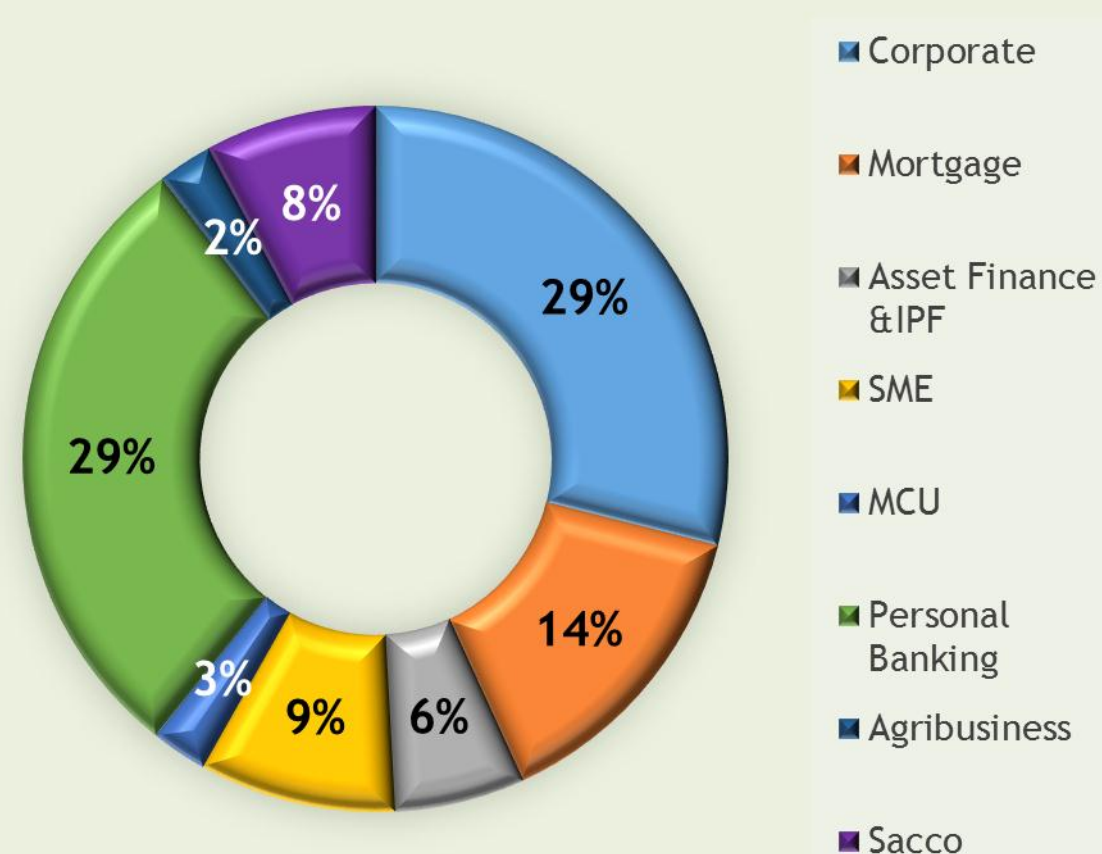
Kshs. Billions	FY 2016	FY2015	% Change (YoY)	
Total Assets	351.9	342.5	2.7%	↑
Loan book (Net)	236.9	208.6	13.6%	↑
Government Securities	57.8	60.1	-3.8%	↓
Total Deposits	263.6	268.8	-2.0%	↓
Borrowed Funds	19.8	19.3	2.8%	↑
Shareholders Funds	61.3	50.2	22.1%	↑
No. of account holders (Millions)	6.22	5.90	5.4%	↑

A Soaring Bank - Loan Distribution

FY 2016

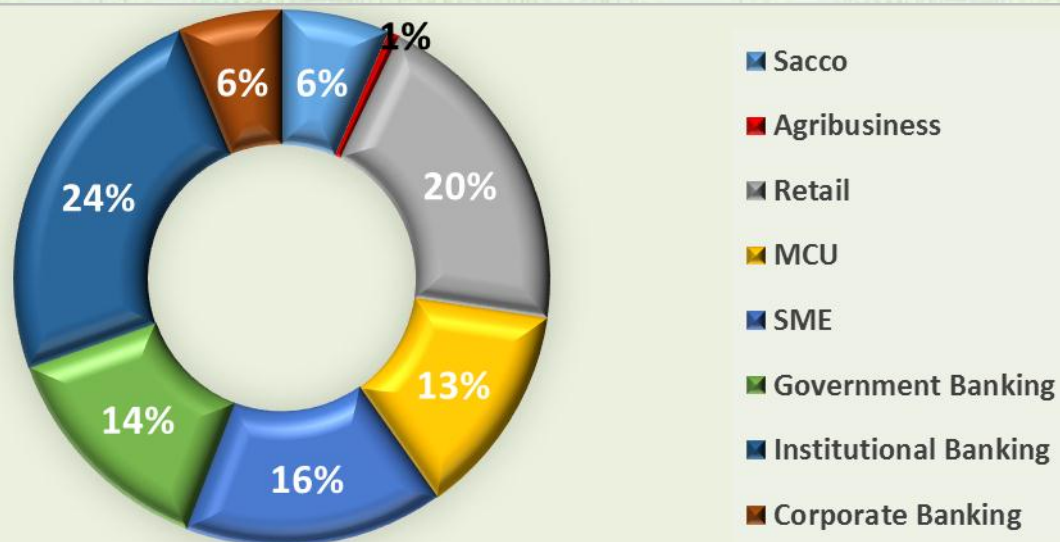


FY2015

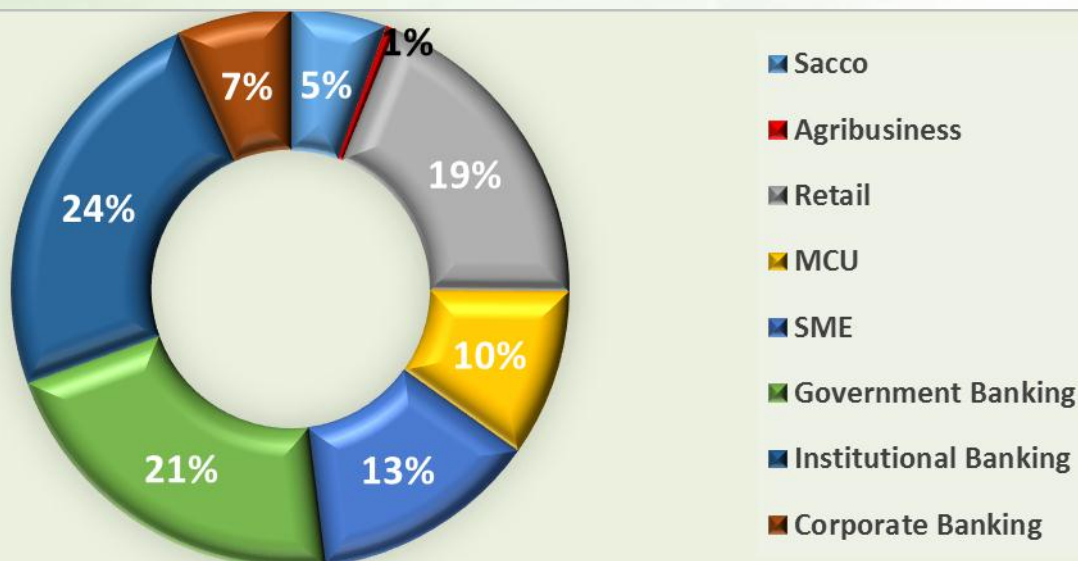


A Well-diversified Liability Portfolio

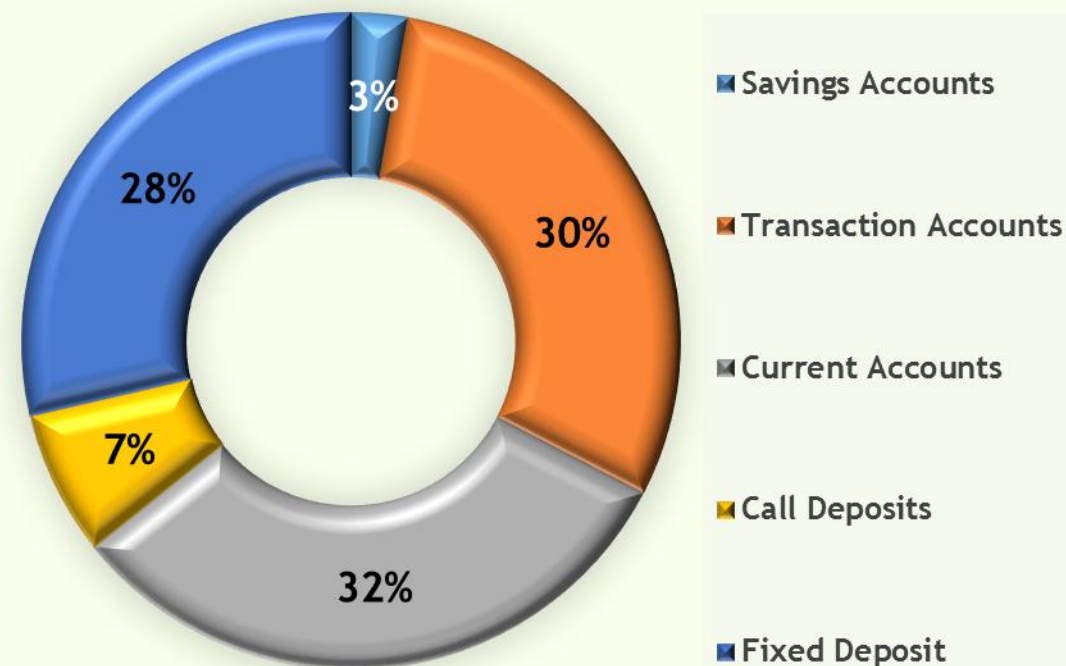
FY 2016



FY2015

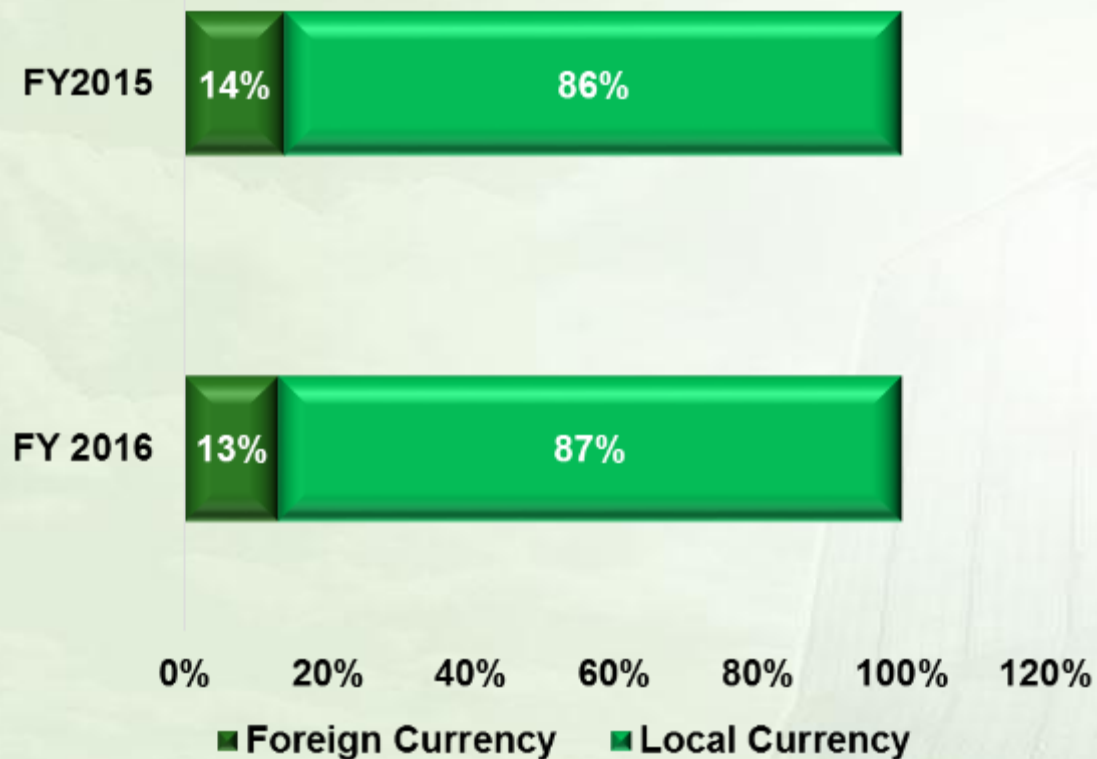


Customer Deposit by Account Type (%) FY2016

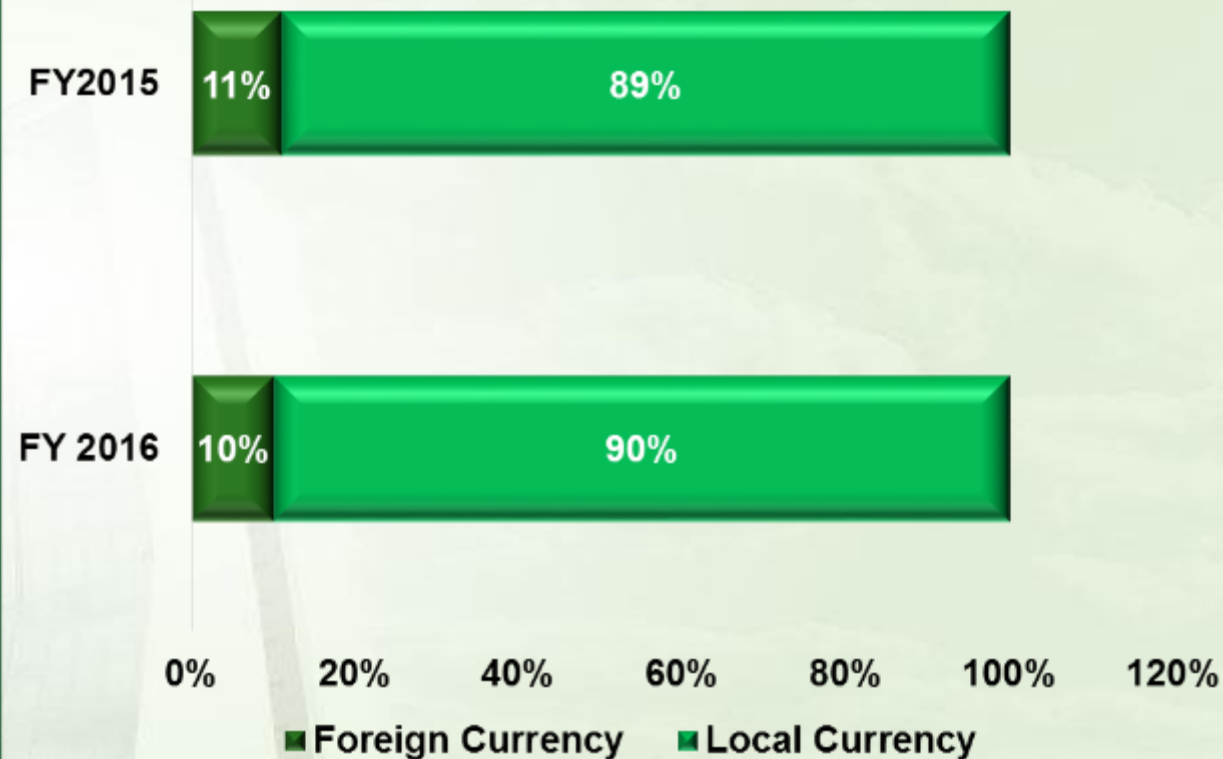




Loan Book (Local Vs Foreign Currency)



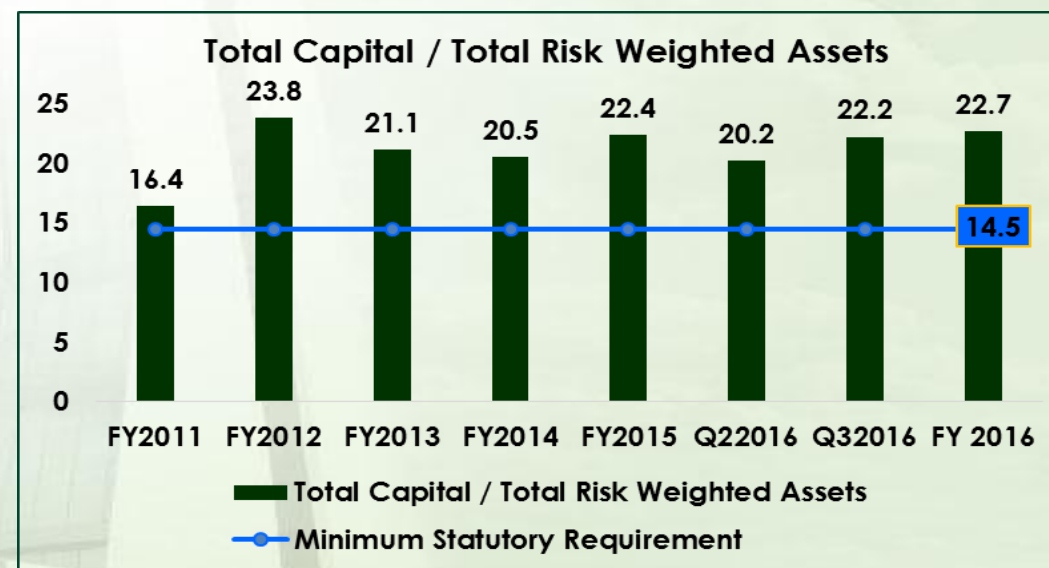
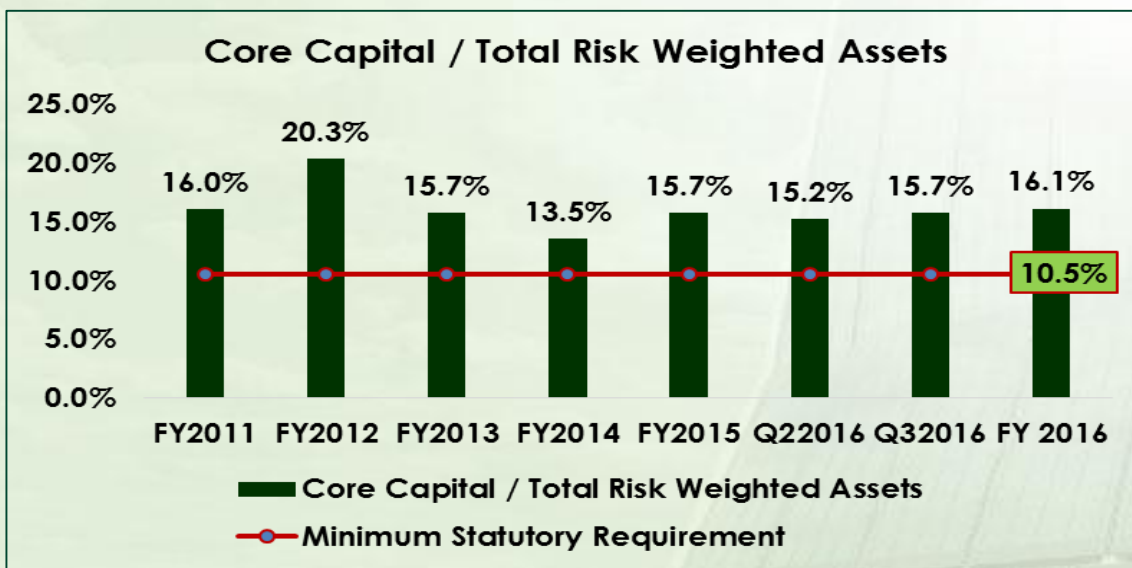
Funding (Local Vs Foreign Currency)



Portfolio Trends Ksh. Millions

	FY 2016	%	FY2015	%
Normal	196,708	80.5%	192,513	87.5%
Watch	36,475	14.9%	19,352	8.8%
Substandard	5,828	2.4%	3,305	1.5%
Doubtful	4,770	1.9%	4,188	1.9%
Loss	675	0.3%	696	0.3%
TOTAL	244,456	100.0%	220,055	100.0%

	FY 2016	FY2015
Core Capital / Total Deposits (10.5%)	19.7%	17.5%
Core Capital / Total Risk weighted Assets (10.5%)	16.1%	15.7%
Total Capital / Total Risk Weighted Asset (14.5%)	22.7%	22.4%
Coverage (<i>Loan loss prov+int in sus /Gross NPL</i>) -IFRS	38.1%	50.2%
Coverage(<i>Loss loan+int in sus+gen prov</i>)/Gross NPL- CBK	65.4%	85.7%
Liquidity (20%)	33.2%	36.1%
NPL / Total Loans	4.3%	3.4%
Loans to Deposits	89.9%	77.6%
Loans to Deposits & Borrowed Fund	83.6%	72.4%



Strong Profitability Growth

Kshs. Billions (except for EPS)	FY 2016	FY2015	% Change (Y/Y)	
Interest Income	42.3	36.8	14.9%	↑
Interest Expense	12.8	13.6	-6.0%	↓
Net Interest Income	29.5	23.2	27.1%	↑
Fees & Commissions	9.8	9.5	3.0%	↑
Forex Income	1.8	3.2	-43.5%	↓
Other Income	1.2	0.5	140.8%	↑
Total Operating Income	42.3	36.4	16.2%	↑
Loan Loss Provision	2.6	2.0	28.7%	↑
Staff Costs	9.4	8.9	5.6%	↑
Other Operating Expenses	12.3	10.5	17.1%	↑
Profit Before Loss on Monetary Position	18.0	15.0	20%	↑
less Loss on net monetary position	0.4	-	100%	↑
Share of associate profit	0.1	0.4	75%	↑
Profit before tax	17.7	15.4	15%	↑
Tax	5.0	3.7	37.2%	↑
Profit After Tax	12.7	11.7	8.5%	↑
Basic EPS	2.6	2.4	10.3%	↑



COMPANY	PROFIT BEFORE TAX 2016	PROFIT BEFORE TAX 2015	%
	KShs'000	KShs'000	KShs'000
The Co-operative Bank of Kenya Limited	18,020,405	14,071,456	28%
Co-op Consultancy & Ins Agency Limited	197,622	176,481	12%
Co-op trust Investments Limited	69,406	65,059	7%
Kingdom Securities Limited	(20,163)	1,574	-1381%
Co-Operative Bank of South Sudan	<u>(568,406)</u>	<u>752,937</u>	-175%
Total PBT before eliminations	17,698,863	15,067,507	17.5%
Add: Share of profit from associates	97,546	384,991	-75%
Less: Dividends received from CIC	(72,876)	(69,407)	5%
Group profit before tax	17,723,532	15,383,092	15%
Income tax expense	<u>(5,047,322)</u>	<u>(3,677,533)</u>	37%
Group profit after tax	<u>12,676,210</u>	<u>11,705,559</u>	8.5%

	FY 2016	FY2015
Cost to Income(Excluding Provisions)	52.1%	53.2%
Cost to Income (Including Provisions)	58.3%	58.8%
Cost of funds	4.5%	5.2%
Staff Cost to Total Income	22.2%	24.5%
Debt to Equity	32.3%	38.4%
Average Return on Equity	22.7%	25.0%
Average Return on assets	3.7%	3.7%
FX to Non Funded income	14.1%	24.2%
Non - Funded to Total Income	30.2%	36.2%
Net Interest Margin(loans)	10.5%	10.4%
Effective Corporate Tax Rate	31.6%	25.6%

- Cost to Income : With the ongoing transformation strategy the ratio is expected to continue improving
- NIM : Stable and in line with the bank's projections

2016 Financial Outlook

	<u>Actual FY-2016</u>	<u>Projections FY 2017</u>
Profit Before Tax Growth	15.2%	NIL
Loans & Advances Growth	13.6%	12%
Deposits Growth	-2.0%	12%
Cost to Income Ratio	52.1%	50%
Non Funded to Total Income	30.2%	34%
Return On Average Equity (ROAE)	22.7%	20%
Return On Average Assets (ROAA)	3.7%	3.5%
Non Performing Loans (NPL)	4.3%	4.5%
Cost of funds	4.5%	4.5%
Net Interest Margin (NIM)	10.5%	9.5%
Cost of risk	1.2%	1.3%

- ❖ 2016 was a year characterized by a tough economic environment but our strategic focus provided the required resilience. Our balance sheet and P&L grew by 2.7% and 15% respectively, with FY-2016 Profit Before Tax of Kshs 17.7B compared to Kshs 15.4B in FY2015.
- ❖ With the increased momentum in the “Soaring Eagle Transformation Agenda”, revamped ICT infrastructure, and the strategy set for competing in a changed environment, the group will continue scaling new heights.
- ❖ The board of directors has recommended subject to AGM and Capital Market Authority approval a dividend payment of Kshs. 0.80 per every ordinary shares held and a bonus of One ordinary share per every Five ordinary shares held.
- ❖ We look to the future with great excitement and optimism! Thank you for your continued partnership and we invite you to invest more in the great future.



THANK YOU



CO-OPERATIVE BANK

We are you